

Catching a break: On the inflation dip and households

January's **inflation dip** brings **respite** for households but fresh risks are building up

A healthy winter harvest of vegetables **reined in** food inflation to a five-month low of 6% in January, **driving down** India's consumer price inflation to 4.3%, **tantalisingly** close to the 4% median target **pursued** by the Reserve Bank of India (RBI). For urban consumers, in fact, inflation **eased** to 3.9%, while rural consumers faced a much-moderated 4.6% uptick in prices. This **constitutes** some relief for households, especially the urban middle class which has been **awaiting** relief from food inflation and has pulled back on other spending. If inflation holds around this level for some time, this may have broader **connotations** for consumption and growth **impulses** gathering fresh **steam**. The **RBI**, which **slashed** interest rates last week **in anticipation of** declining inflation, **must** be relieved too. As per its own **reckoning**, with this quarter expected to average 4.4% inflation, there may be a minor **uptick** from January's 4.3% price rise over this month and March. On Thursday (February 13, 2025), **citing** the inflation decline and the RBI's **projection** of an average inflation of 4.2% in 2025-26, Finance Minister Nirmala Sitharaman **exuded** confidence in Parliament that food prices will be under control this year, with farm output estimates suggesting a healthy uptick.

Some **dark clouds**, however, **loom over** this **benign** inflation **outlook** that is expected to create more **room** for the central bank to cut rates further and support growth. With the rupee declining 4% against the U.S. dollar **so far** in the second half of 2024-25, imported inflation can **play spoilsport**, particularly on fuels, and edible oils where imports constitute 60% of India's consumption needs. If **commuting costs**, which **accounted for** the highest **chunk** of households' non-food spending in 2023-24, and cooking fuel costs **flare up** along with the price of fats to fry one's meals, household budgets will be **exacerbated afresh**. Edible oil prices have been rising sharply for a few months already, with high global prices **compounded** by the Centre's decision to **impose** import duties. They were up 15.6% in January, the highest in almost three years. **Wholesale prices** for **edible** oils **jumped** 33.1%, indicating there is likely more **pass-through** of these costs in retail prices. Any weather shocks this coming summer and monsoon could also **undo** food price gains. **The RBI**, which is **seeking** to **curb** the **volatility** in the rupee, **will** be **mindful** of these risks, and having retained a neutral monetary policy **stance**, **may hold off** on its growth **pursuit** if **warranted**. To **alleviate** price pressures, the **government**, after **unveiling** income tax cuts to boost middle class consumption, **should** be open to slashing indirect taxes — fuel **levies**, import duties, and GST — as they affect all sections of society, including **the most vulnerable**.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Catch a break** (phrase) – Get relief, Find respite, Get a breather, Experience ease, Get a chance राहत मिलना
2. **Inflation** (noun) – Price rise, Cost increase, Escalation, Surge, Hike महंगाई
3. **Dip** (verb) – Decline, Drop, Decrease, Fall, Reduce गिरावट आना
4. **Respite** (noun) – Relief, Break, Pause, Rest, Lull राहत
5. **Rein in** (phrasal verb) – Control, Restrain, Curb, Check, Limit नियंत्रण करना
6. **Drive down** (phrasal verb) – Reduce, Lower, Decrease, Push down, Cut कम करना
7. **Tantalisingly** (adverb) – Temptingly, Alluringly, Provocatively, Enticingly, Seductively लुभावने ढंग से
8. **Pursue** (verb) – Chase, Follow, Seek, Strive, Aim पीछा करना
9. **Ease** (verb) – Reduce, Lessen, Alleviate, Mitigate, Relax कम करना
10. **Constitute** (verb) – Form, Represent, Comprise, Make up, Account for गठित करना
11. **Await** (verb) – Wait for, Anticipate, Expect, Look forward to, Hope for प्रतीक्षा करना
12. **Connotation** (noun) – Implication, Meaning, Significance, Undertone, Suggestion संकेतार्थ
13. **Impulse** (noun) – Urge, Drive, Motivation, Stimulus, Push प्रेरणा
14. **Steam** (noun) – Energy, Momentum, Force, Power, Drive गति
15. **Slashed** (adjective) – Reduced, Cut, Lowered, Decreased, Dropped कटौती की गई
16. **In anticipation of** (phrase) – Expecting, Preparing for, Awaiting, Hoping for, Foreseeing प्रत्याशा में
17. **Reckoning** (noun) – Calculation, Estimation, Assessment, Judgment, Evaluation गणना
18. **Uptick** (noun) – Increase, Rise, Growth, Surge, Boost वृद्धि
19. **Cite** (verb) – Mention, Refer to, Quote, Point out, Name हवाला देना
20. **Projection** (noun) – Forecast, Estimate, Prediction, Outlook, Expectation पूर्वानुमान
21. **Exude** (verb) – Emit, Display, Radiate, Show, Demonstrate प्रदर्शित करना
22. **Dark cloud** (phrase) – Threat, Danger, Risk, Trouble, Problem खतरा

23. **Loom** (over) (verb) – Threaten, Impend, Hover, Approach, Menace मंडराना
24. **Benign** (adjective) – Favorable, Mild, Gentle, Positive, Harmless अनुकूल
25. **Outlook** (noun) – Perspective, View, Forecast, Expectation, Scenario दृष्टिकोण
26. **Room** (noun) – Space, Scope, Opportunity, Capacity, Margin गुंजाइश
27. **So far** (phrase) – Until now, Up to this point, Thus far, To date, Yet अब तक
28. **Play spoilsport** (phrase) – Ruin, Sabotage, Disrupt, Hinder, Undermine बिगाड़ना
29. **Commuting cost** (noun) – Travel expense, Transportation cost, Fare, Travel charge यात्रा लागत
30. **Account for** (phrasal verb) – total, Comprise, Constitute बनाना
31. **Chunk** (noun) – Portion, Part, Segment, Share, Piece हिस्सा
32. **Flare up** (phrasal verb) – Escalate, Intensify, Surge, Worsen, Explode बढ़ना
33. **Exacerbate** (verb) – Worsen, Aggravate, Intensify, Heighten, Increase बढ़ाना
34. **Afresh** (adverb) – Again, Anew, Once more, From scratch, Over फिर से
35. **Compound** (verb) – Intensify, Aggravate, Worsen, Increase, Multiply बढ़ाना
36. **Impose** (verb) – Enforce, Levy, Apply, Introduce, Inflict लागू करना
37. **Edible** (adjective) – Consumable, Eatable, Digestible, Safe, Palatable खाने योग्य
38. **Pass-through** (noun) – Transfer, Transmission, Flow, Shift, Movement हस्तांतरण
39. **Undo** (verb) – Reverse, Nullify, Cancel, Erase, Overturn पूर्ववत करना
40. **Seek** (verb) – Pursue, Search, Aim, Strive, Attempt तलाश करना
41. **Curb** (verb) – Control, Restrain, Limit, Check, Suppress रोकना
42. **Volatility** (noun) – Instability, Fluctuation, Uncertainty, Unpredictability, Variability अस्थिरता
43. **Mindful** (adjective) – Aware, Conscious, Alert, Attentive, Careful सतर्क
44. **Stance** (noun) – Position, Attitude, Standpoint, Approach, Posture रुख
45. **Hold off** (phrasal verb) – Delay, Postpone, Wait, Pause, Defer रोकना
46. **Pursuit** (noun) – Quest, Search, Endeavor, Aim, Goal प्रयास
47. **Warrant** (verb) – Justify, Merit, Require, Demand, Necessitate ज़रूरी बनाना

48. **Alleviate** (verb) – Ease, Reduce, Mitigate,
Lessen, Relieve कम करना

49. **Unveil** (verb) – Reveal, Introduce, Launch,
Present, Announce प्रकट करना

50. **Levy** (noun) – Tax, Duty, Charge, Fee,
Imposition कर

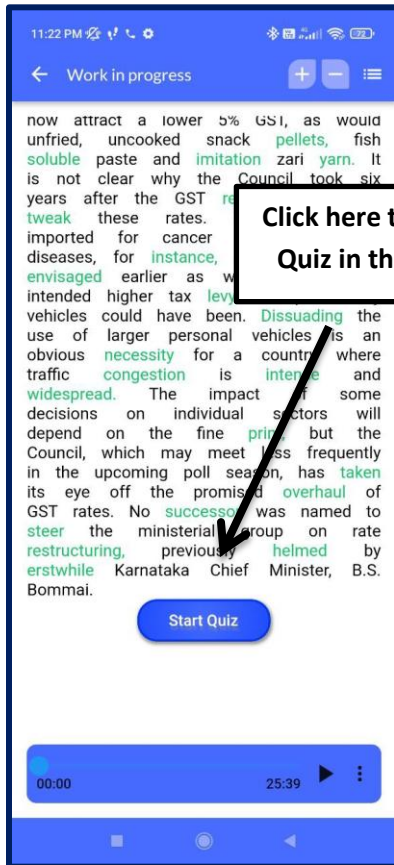
51. **The vulnerable** (noun) – The weak, The
disadvantaged, The helpless, The exposed,
The at-risk कमजोर वर्ग

@mocks_wallah

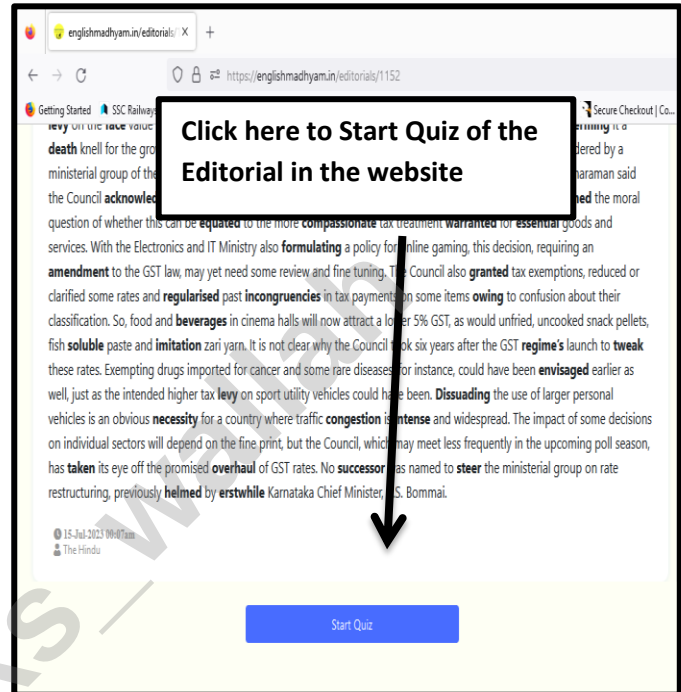
Summary of the Editorial

1. **Inflation Dip:** India's consumer price inflation dropped to 4.3% in January 2025, driven by a 6% food inflation rate, the lowest in five months.
2. **Urban vs. Rural Inflation:** Urban consumers experienced 3.9% inflation, while rural consumers faced a moderated 4.6% price rise.
3. **Household Relief:** The dip in inflation offers some respite for households, particularly the urban middle class, which has curtailed spending due to high food prices.
4. **RBI's Target:** Inflation is now close to the RBI's 4% median target, providing room for potential rate cuts to support economic growth.
5. **RBI's Rate Cut:** The RBI recently slashed interest rates, anticipating a decline in inflation, with Q4 2024-25 inflation projected to average 4.4%.
6. **Finance Minister's Confidence:** Nirmala Sitharaman expressed confidence in controlling food prices, citing healthy farm output estimates for 2025-26.
7. **Imported Inflation Risks:** A 4% decline in the rupee against the dollar in H2 2024-25 raises concerns about imported inflation, particularly for fuels and edible oils.
8. **Edible Oil Price Surge:** Edible oil prices rose 15.6% in January, the highest in nearly three years, with wholesale prices up 33.1%, signaling further retail price increases.
9. **Household Budget Pressure:** Rising commuting and cooking fuel costs, along with edible oil prices, could strain household budgets.
10. **Weather Risks:** Potential weather shocks during summer and monsoon could reverse gains in food price stability.
11. **RBI's Caution:** The RBI, while maintaining a neutral monetary stance, may prioritize curbing rupee volatility over growth if inflation risks escalate.
12. **Tax Cuts Suggested:** The government is urged to consider reducing indirect taxes, such as fuel levies, import duties, and GST, to alleviate price pressures across all income groups.
13. **Middle-Class Focus:** Recent income tax cuts aimed at boosting middle-class consumption may need to be complemented by broader tax reforms.
14. **Growth Implications:** Sustained low inflation could revive consumption and growth, but external and domestic risks could derail this momentum.
15. **Policy Balancing Act:** Policymakers must balance growth support with inflation control, especially in light of global and domestic uncertainties.

Practice Exercise: Banking Pattern Based



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